PART VII

Crash and Learn

In the opening essay, Frank Vanderlip, a premier banker of the early 1900s, states that panics make for a "swift education." Vanderlip goes on to describe their 1907 savior, J. P. Morgan, as a man whose "words were literally fired from the remarkable, cannon-like cigars that he smoked habitually." As with most crashes, reforms quickly followed, with the 1907 panic leading to the creation of the Federal Reserve System in 1913. The devastating impact of the 1929 crash, which destroyed the lives of both the poor and the rich, is summed up by renowned journalist Edwin Lefèvre, who wrote, "a worldwide earthquake doesn't ask for personal references." For J. Paul Getty, panics are a time to buy, as was the case in 1962. However, he says, you must still do your homework and not expect just any depressed stock to "get hot." Most of the authors agree: The key to surviving market crashes is to avoid delusion. Look around. Is speculation rampant, as it was in 1929? Are monetary problems hurting the economy, as they were in 1987? The greatest investment lessons can be learned from past mistakes.